BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, ALLAHABAD

CP No. 90/ALD/2020, CA No.440/ALD/2019
(Under Section 230/232 of the Companies Act, 2013)

IN THE MATTER OF SCHEME OF ARRANGEMENT/DEMERGER
U/s 230 to Section 230 of the Companies act, 2013

BETWEEN

A.B.Auto Works Pvt Ltd, having its registered office at C/32F Foundry Nagar Agra Uttar Pradesh-282006.

..... Demerged /Transferor Company

WITH

DGS Auto Works Pvt. Ltd, having its registered office at C/32Foundry Nagar Agra Uttar Pradesh 282006

AND

.....Resultant/Transferee Company No.1

Ridya-Agrima Auto Services Pvt Ltd, having its registered office situated At, F-3 Professor Colony Kamla Nagar Agra –Uttar Pradesh 282005.

.....Resultant/Transferee Company No.2

ORDER DELIVERED ON : 04.08.2021

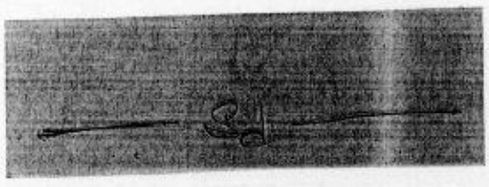
CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: **Mr.Suyash Agarwal, Adv Alongwith Mr. Ramesh Chandra Sharma, ADV.**
For the Official Liquidator : **Mr. Kuldeep Singh, AOL**
For the Income Tax Department: **Mr. Gaurav Mahajan, Adv**
For ROC : **Mr. Krishna Dev Vyas, Adv**

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. The Present Petition is filed by under Sections 230, 232 & 66 of the Companies Act, 2013 read with Rules framed there under as in force from time to time for seeking sanction to the composite scheme of arrangement/ Demerger between Applicant Company No. 1 i.e A.B. Auto Works Pvt Ltd (Demerged



Company) with Applicant Company No. 2 & 3 i.e "DGS Auto Works Pvt. Ltd." (Resulting Company No 1) and "Ridya-Agrima Auto Services Pvt. Ltd.(Resulting Company No. 2) (hereinafter referred to as "Scheme" or "Scheme of Arrangement").(***The copy of the scheme of demerger by the Applicant companies alongwith the valuation report is annexed as Annexure P-8 (Colly) of the said petition).***

2. By the scheme, with effect from the appointed date, the part business as mentioned in scheme of demerged Company will be merger/ amalgamated with the resulting company.

3. The Applicant No.1 Company, M/s A.B. Auto Works Pvt. Ltd is incorporated on 19/06/198 under the Companies Act, 1956 with the Register of companies, Kanpur, Uttar Pradesh. The Authorised Share Capital of Applicant No. 1 Company is Rs.27,00,000/- divided into 270000 equity sharcs of Rs. 10/- each and the present issued, subscribed and paid-up Share Capital of the Company is Rs.23,75,250/- divided into 237525 Equity Shares of Rs.10/- each. The objects for which the Demerged Company/Applicant No.1 Company was formed are set forth in its memorandum of Association, **copy of which is annexed as Annexure 2 of the said petition.**

4. It is stated that the Applicant No.2 Company/Resultant Company No.1, M/s DGS Auto Works Pvt. Ltd. was incorporated on 18.10.2018 with the ROC, Kanpur, U.P. The Authorised Share Capital of the Applicant No.2 Company is Rs. 10,00,000/- equity shares of Rs.10/- and present issued, subscribed & paid up is Rs. 1,00,000/- Equity Shares of Rs. 10/- each. The objects for which the Resultant Company 1/Applicant No.2 Company was formed are set forth in its memorandum of Association, **copy of which is annexed as Annexure 4 of the said petition.**



5. It is stated that the Applicant No.3 Company, M/s Ridya-Agrima Auto Services Pvt. Ltd. was incorporated on 11.02.2019 with the Registrar of Companies, Kanpur, Uttar Pradesh.The Authorized Share Capital of the Applicant No.2 Company is Rs.10,00,000/- divided into 100000 equity shares of Rs.10/- each. Present issued, subscribed & paid up is Rs.1,00,000/- divided into 10000 each. The objects for which the Resultant Company 2/Applicant No.3 Company was formed are set forth in its memorandum of Association, **copy of which is annexed as Annexure 6 of the said petition.**

6. The proposed Scheme of Arrangement has previously been approved by the Board of Directors of the Applicant companies in the respective meetings held on 01.08.2019.

7. The proposed Scheme of Demerger is intended to provide greater business focus, in all the Applicant Companies and separation of above mentioned business with other businesses of Demerged Companies would lead to significant benefits to all the businesses including:

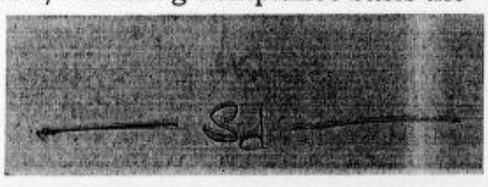
i. *To allow each business to create a strong and distinctive platform which enables greater flexibility to pursue long-term objectives;*

ii. *Enabling accelerated growth of the remaining business and allowing the de-merged businesses of A.B. Auto Works Pvt Ltd to explore suitable strategies to fund its growth plans;*

iii. *Offering the shareholders a clear focused investment opportunity in the to produce, manufacture, purchase, refine, prepare, import, export, sell and generally to deal in Tractors, Auto and Diesel parts including liners, pistons, pumps etc. business and thereby unlocking value of their holding;*

iv. *For synergetic effect and betterment of shareholders and other stake holders.*

8. It is submitted that the Board of Directors of the Transferor Companies, Demerged Company as well as Transferee /Resulting Companies basis the



Report on Recommendation of Share Entitlement Ratio of equity shares for the proposed demerger of the part business of the Demerged company into the resulting company shall be as follows :

3 (Three) fully paid up Eqity shares of DGS Autoworks Pvt. Ltd. shall be issued and allotted for every 1(one) fully paid up Equity share of A.B. Auto Works Pvt. Ltd. Thus, DGS Autoworks Pvt. Ltd. shall issue its 7,12,575 fully paid up equity shares to the shareholders of A.B. Auto Works Ptv. Ltd. in the ratio 3:1.

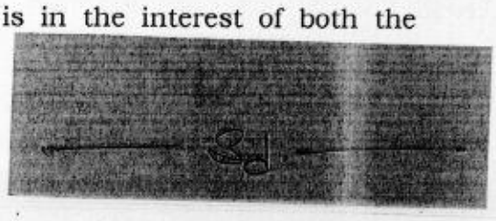
4(Four) fully paid up Equity shares of Ridya-Agrima Auto Services Private Limited shall be issued and allotted for every 1(One) fully paid up Equity share of A.B. Auto Works Pvt. Ltd. Thus, Didya-Agrima Auto Services Pvt. Ltd. shall issue its 9,50,100 fully paid up equity shares to the shareholders of A.B Auto Works Pvt. Ltd. in the ratio of 4:1.

9. The Petitioner Companies have also annexed the valuation report dated 13th August, 2019 given by Mr Nitin Khandiwal, a Chartered Accountant in relation to the share exchange ratio.

10. It is stated that the petitioners have stated that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

11. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of shareholding in the abovementioned Petitioner Companies.

12. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bonafide* and is in the interest of both the



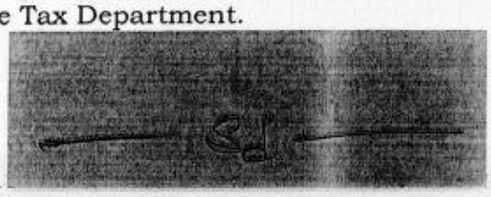
Petitioner Companies and their Shareholders, Secured Creditors and Un-secured Creditors as a whole and is also just and equitable.

13. The petitioner has attached the copy of provincial financial statements of Applicant No.1 Company for the period ending 30.06.2019 and of Applicant No.2 Company for the period ending 30.06.2019 the copy of which is annexed as AnnexureP-7 Colly of the present petition.

14. A perusal of the present Petition discloses that initially the Applicant Companies had filed a Company Application No. 440/ALD of 2019 seeking direction for dispensation of meeting of equity shareholders, secured creditors and Unsecured Creditors of the applicant companies and for the sanction of the Scheme of Arrangement. Accordingly, this Bench by the order dated 18.12.2019 allowed the above mentioned prayer by dispensing with such meetings and was further pleased to issue notices to the Central Government through the office of Regional Director, the Registrar of Companies ,Official Liquidator, Allahabad , Income Tax department and to all the relevant sectoral authorities.

15. This Tribunal vide its order dated 28.02.2020 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in **English & Hindi Newspaper-"Business Standard", Delhi Edition.**

16. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in English & Hindi Newspaper-"Business Standard", Delhi Edition. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Kanpur, Uttar Pradesh (c) The Official Liquidator, Allahabad, Uttar Pradesh and (d) the Income Tax Department.

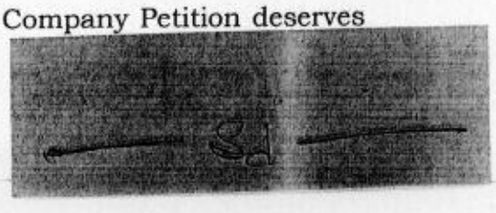


17. In response to such notice the Regional Director, (Northern Region), Ministry of Corporate Affairs, New Delhi submitted its report by way of representation/ affidavit, wherein certain objections has been raised regarding discrepancy in valuation of assets of demerged and resulting company, further in relation to the payment of stamp duty on transfer of land and also stated that as per the balance sheet of financial year 2018-19 of the demerged company, no secured borrowing exists.

18. In response to the above, the counsel for the applicant has filed reply to the above objection stating that as both the resulting companies are small companies and does not have any assets so net asset value method was considered suitable for valuation of the demerger and as the same valuation method for demerged company as well as the resulting companies cannot be applied as they do not have assets so DCF method is used for their valuation and further stated that the sale of land is not an absolute sale of any assets and it is only the distress sale which is approx. 80% of the land value. In regard to stamp duty it is stated that the amount of stamp duty will be paid by the companies on their respective properties and further the demerged company will continue to carry on its business so that non fund based facility will continue and will have no effect on this demerger.

19. The Tribunal also examined the report of the Official Liquidator, Allahabad, filed through Registrar of Companies, Kanpur and Income Tax Authorities and after perusing the same this Tribunal is of the view that the sanction of the present scheme is not against public policy, nor prejudicial to public at large.

20. In addition to above, all the statutory compliance either seems to have been complied with or further undertaken for making compliances by Petitioner Companies. Therefore, the present Company Petition deserves



to be allowed in terms of its Prayer clause. In the result, the Scheme of Arrangement annexed to Company Petition is duly approved and hereby sanctioned.

21. In the result, the proposed Scheme of Arrangement which is annexed to the Company Petition stand approved and sanctioned. Petitioner Companies are required to act upon as per terms and condition of the sanctioned Scheme and the same to be binding on its Shareholders, Secured Creditors and Un-secured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the appointed date.

22. While approving the Scheme as above, it is clarified that the order should not be construed as, in any way, granting exemption from payment of stamp duty (if any is applicable), taxes (including income tax, GST or any other charges, if any are applicable) and payment in accordance with law or in respect to any permission /compliance with any other requirement which may be specifically required under any law.

23. Petitioner Company No. 1 is directed to file the Schedule of Assets in respect to demerged undertaking in the form as prescribed in Form No. CAA 7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within three weeks from the date of the order to be made herein;

24. The Transferee /Resulting Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to the



Transferee Companies and the files relating to the said Transferor company shall be consolidated accordingly;

25. All concerned regulatory authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Designated Registrar, National Company Law Tribunal, Allahabad Bench.

26. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

27. Accordingly, the present Company Petition bearing **CP No. 90/ALD of 2020** is **allowed** and stands **disposed of.**



JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 04.08.2021

Swati Gupta
(LRA)